

DISSENTING OPINION BY M. DE BUSTAMANTE.

I, THE UNDERSIGNED, cannot, for reasons of which the principal are set out below, concur in the judgment rendered by the Court with respect to its jurisdiction in the Mavrommatis Case.

In order to arrive at a decision regarding the preliminary plea to the jurisdiction made by His Britannic Majesty's Government in reply to the Application and Case of the Government of the Greek Republic concerning the Mavrommatis Palestine Concessions, the nature of the question, submitted to the Court by the latter Government must, above all, be taken into consideration.

The Greek Government in its Case dated May 22nd, 1924, requests the Court to give judgment as follows :

(a) With respect to the Jerusalem Concessions for the construction and working of a system of electric tramways and supply of electric light and power and of drinking water in that city according to the definitive contracts signed with the Ottoman authorities on January 27th, 1914 :

(1) That these concessions having been begun to be put into operation, the British Government, in its capacity of Mandatory for Palestine, is bound to maintain them and to agree to their readaptation to the new economic conditions of the country or to redeem them by paying the claimant reasonable compensation ;

(2) That having in fact already made its choice by rendering impossible, directly or indirectly, the carrying out of the works for which the claimant holds a concession, it must pay him compensation ;

(3) That taking into account all the various elements of the loss occasioned to the claimant, he shall receive fair and reasonable compensation by means of the payment to him of the sum of £121,045 together with interest at 6 % from July 20th, 1923, until the date on which judgment is given.

(b) With respect to the Jaffa concessions :

(1) That the fact that these were granted after October 29th, 1914, does not justify the British Government in refusing to recognise them ;

(2) That the fact that they were not confirmed by Imperial *Irade*, which is a simple formality not to be withheld at discretion, does not deprive them of their international value ;

(3) That though the British Government in its capacity as Mandatory for Palestine is at liberty not to maintain them, it is nevertheless under an international obligation to compensate their holder for the loss it has inflicted upon him by deciding—as it has done—not to allow him to proceed with them ;

(4) That taking into account all the elements of the loss thus sustained by the claimant, he shall receive fair and reasonable compensation by means of the payment to him of the sum of £113,294 together with interest at 6% from July 20th, 1923, until the date on which judgment is given.

On page 8 of the Greek Government's Case it is stated that, from the end of October 1922, M. Mavrommatis' negotiations with the British Government entered upon a new phase owing to the very intransigent attitude adopted by the Colonial Office.

It is very important to note that the Greek Case recognizes the British Government's right not to recognize or put in execution the concessions in question, and that it confines itself to a claim for an indemnity on the ground of that Government's refusal to recognize them and to readapt them to the new economic conditions of the country.

It should also be noted that the Greek Government asks for nothing for itself and that in the Case reference is always made to an indemnity to be paid, not to the Greek Government, but to the beneficiary under the concessions.

The jurisdiction of the Court to entertain this Case has been based on the Mandate for Palestine conferred on the British Government by the Council of the League of Nations on July 24th, 1922, but which did not come into force until September 29th, 1923.

The Mandate is not mentioned in the Case of the Greek Government, which only considers the provisions of Protocol XII of the Treaty of Peace with Turkey signed at Lausanne on July 24th, 1923. In the application instituting proceedings however, the Greek Government expressly mentions Articles 26 and 11 of the Mandate for Palestine which run as follows :

Article 26.

The Mandatory agrees that, if any dispute whatever should arise between the Mandatory and another Member of the League of Nations relating to the interpretation or the application of the provisions of the Mandate, such dispute, if it cannot be settled by negotiation, shall be submitted to the Permanent Court of International Justice provided for by Article 14 of the Covenant of the League of Nations.

Article 11.

The Administration of Palestine shall take all necessary measures to safeguard the interests of the community in connection with the development of the country, and, subject to any international obligations accepted by the Mandatory, shall have full power to provide for public ownership or control of any of the natural resources of the country or of the public works, services and utilities established or to be established therein. It shall introduce a land system appropriate to the needs of the country, having regard, among other things, to the desirability of promoting the close settlement and intensive cultivation of the land.

The Administration may arrange with the Jewish agency mentioned in Article 4 to construct or operate, upon fair and equitable terms, any public works, services and utilities, and to develop any of the natural resources of the country, in so far as these matters are not directly undertaken by the Administration. Any such arrangements shall provide that no profits distributed by such agency, directly or indirectly, shall exceed a reasonable rate of interest on the capital, and any further profits shall be utilised by it for the benefit of the country in a manner approved by the Administration.

By a careful perusal of Article 26 of the Mandate it will be noted that the Court's jurisdiction is subordinate to several conditions, of three of which special mention must be made. The dispute must relate to the interpretation or application of the terms of the Mandate. The dispute must not be a dispute which has already arisen, but a dispute which *may arise*. Further, this dispute must be between the *Mandatory* and another *Member of the League of Nations*.

It will readily be seen that Article 11 of the Mandate imposes upon the Mandatory no obligation to pay compensation and that it contains no express or implicit reference to concessions granted by Turkey. This is perfectly reasonable. Turkey is not a Member of the League of Nations and the fate of concessions granted before the military occupation of Palestine by the British Army during the Great War could not be settled except in agreement with Turkey. This is the reason why the concessions are not mentioned in the Mandate and why, on the other hand, they have been made the subject of special provisions in the discarded Treaty of Sèvres of August 10th, 1920, and in the Treaty of Lausanne, the ratifications of which were deposited on August 6th, 1924. I will not dwell on the untenability of the argument that the question relates to the interpretation or application of Article 11 of the Palestine Mandate, even with respect to the nature of the international obligations accepted by the Mandatory ; and this, not only because the point has been completely established by certain of my colleagues but also because the two other objections, which I will now proceed to consider, render such insistence somewhat superfluous.

I must however observe that if the Application and Case of the Greek Government are to be read as meaning that the dispute relates to preliminary points in connection with the application of certain provisions of Protocol XII, it is clear that the question is not one of interpreting or applying the Mandate but of interpreting the Protocol. Now the interpretation of the Protocol is not within the jurisdiction of the Court, for there is no clause of the Protocol or the Treaty of Lausanne establishing that jurisdiction.

It will have been observed that the Mavrommatis Concessions were obtained from the Ottoman authorities and it is stated in the Greek Government's Case that M. Mavrommatis approached the representatives of the British Government in Palestine and London

as early as April 16th, 1921 ; but from the month of October, 1922, he is stated to have been faced by an intransigent attitude on the part of the Colonial Office. Moreover, as the Mandate did not come into force until September 29th, 1923, it is clear that the facts on which the Case is based date from before the Mandate and from before the time when the British Government acquired the legal position of Mandatory, which it did only as from September 29th, 1923. In other words, retrospective effect must be attributed to the Mandate in order to maintain that the terms of Article 26 are applicable.

Before the coming into force of the Mandate, Great Britain had no other title to the exercise of public power in Palestine than that afforded by its military occupation. Whatever responsibility might devolve upon it in consequence of its acts whilst in military occupation, a dispute concerning such responsibility cannot be entertained by the Court under Article 26 of the Mandate. That article contemplates the future, not the past. The Mandatory agrees that if any dispute whatever *should arise* (not a dispute which has arisen) between the Mandatory and another Member of the League of Nations, such dispute shall be submitted to the Permanent Court. If language has any value in legislation and in treaties, it is impossible to interpret a verb used in the future as referring to acts which have already taken place. Moreover the League of Nations has not given any retrospective effect to the position of the Mandatory. In conformity with Article 22 of the Covenant, the Mandatory must send the Council an annual report concerning the territories which it administers, and a permanent Commission has been appointed to receive and examine these annual reports and to give the Council its opinion on any question regarding the execution of the Mandate. This Commission completed its task when, in connection with its Fourth Session held only a few weeks ago, it submitted to the Council on July 16th, a report of which the part devoted to Palestine contained the following words : "The Commission, although it was not called upon to examine any report concerning the administration of Palestine because of the recent coming into force of the Mandate", etc.

If the League of Nations, which fixed the terms of the Mandate for Palestine, and of which Greece is a Member, appears to recognize that the British Government was only in the position of Mandatory as from the coming into force of the Mandate, and if the facts alleged

in the Greek Government's Case occurred before that date, the logical conclusion is that the dispute is not one between the *Mandatory* and a Member of the League of Nations but rather between the British Government, being in military occupation of Palestine, and M. Mavrommatis, represented before the Court by the Greek Government.

It has been alleged that the Rutenberg Concessions fall within the scope of Article 11 of the Mandate and that they afford justification for the application of Greece because they render the carrying out of the Mavrommatis Concessions impossible. It appears that of the two Jerusalem concessions granted to M. Mavrommatis, one only, that for electric power is affected by those of Mr. Rutenberg ; the latter however were granted to Mr. Rutenberg on the 12th and 21st September, 1921. This being so, and since the Mandate did not come into force until September 29th, 1923, two years after these concessions, the fact that the Mandate has no retrospective application is also opposed to the argument in question and to this method of establishing the Court's jurisdiction.

There is a further circumstance which proves that the Court has no jurisdiction. Great Britain is not the sovereign of Palestine but simply the Mandatory of the League of Nations and she has accepted the Permanent Court's jurisdiction for any dispute arising between her, as Mandatory, and any Member of the League from which she holds the Mandate. As the latter could not appear as a party to a dispute concerning the application or interpretation of the Mandate, having regard to the restrictive terms of Article 34 of the Court's Statute, it is the Member of the League who have been authorized, in their capacity as Members, to bring before the Court questions regarding the interpretation or application of the Mandate.

Whenever Great Britain as Mandatory performs in Palestine under the Mandate acts of a general nature affecting the public interest, the Members of the League—from which she holds the Mandate—are entitled, provided that all other conditions are fulfilled, to have recourse to the Permanent Court. On the other hand, when Great Britain takes action affecting private interests and in respect of individuals and private companies in her capacity as the Administration of Palestine, there is no question of juridical relations between the Mandatory and the Members of the League from which she holds the Mandate, but of legal relations

between third Parties who have nothing to do with the Mandate itself from the standpoint of public law.

The mere fact that a Member of the League of Nations represents third Parties does not alter the nature of the problem, because in so doing the State is not acting as a Member of the League which issues the Mandate, but as a third Party, its intervention as such being consequent upon the acts of the Mandatory with respect to the actual third Party. Acts performed in such circumstances are not subject to the jurisdiction of the Permanent Court under Article 26 of the Mandate.

If the claims of third Parties, put forward on their behalf by a Member of the League of Nations, were subject to the jurisdiction of the Court under the Mandate, an express statement to that effect would have been necessary, since it is a thing entirely different from that which is now clearly expressed in Article 26.

Four days before the signing of the Palestine Mandate a provision of this sort was inserted in Article 13 of the Mandate for East Africa signed at London on July 20th, 1922. This Mandate contains an Article 13 which runs as follows :

Article 13.

The Mandatory agrees that if any dispute whatever should arise between the Mandatory and another Member of the League of Nations relating to the interpretation or the application of the provisions of the Mandate, such dispute, if it cannot be settled by negotiation, shall be submitted to the Permanent Court of International Justice provided for by Article 14 of the Covenant of the League of Nations.

After this passage, which is reproduced word for word in the Palestine Mandate, is to be found in this same Article 13 of the East African Mandate, a second paragraph which runs as follows :

States Members of the League of Nations may *likewise* bring any claims on behalf of their nationals for infractions of their rights under this Mandate before the said Court for decision.

After reading this Article 13 of the Mandate for East Africa, it will at once be observed that claims on behalf of the nationals of States Members of the League of Nations, for infractions of their

rights under that Mandate, are not included among the disputes mentioned in the first paragraph of the article, the only one which has been reproduced in the Mandate for Palestine. It will also be observed that the Mandate for Palestine signed four days afterwards, in which this second paragraph does not appear, must exclude from the jurisdiction of the Permanent Court the claims of M. Mavrommatis which are supposed to be based on an infraction of his rights under the Mandate.

It cannot be said that this second paragraph of Article 13 of the East African Mandate contemplates disputes between private interests concerning neither the interpretation nor the application of the Mandate. Quite the contrary ; it expressly lays down that there must have been an infraction of rights under the Mandate.

The Treaty of Lausanne and Protocol XII annexed thereto are of the greatest importance in this discussion. They are an instrument signed by the interested Parties which fixes their interpretation of Article 26 of the Mandate and also of Article 11. The Parties desired to effect a separate settlement of the whole question of Ottoman concessions, and they have done so in this Protocol of Lausanne without giving the Permanent Court jurisdiction over the matter. This is yet another method of fixing the interpretation of Article 26 which does not give the Court jurisdiction in the Mavrommatis case.

The sole object of Protocol XII is to regulate the treatment of Ottoman concessions, and it contemplates all the hypotheses under which those of M. Mavrommatis may be included. As regards the indemnities which the Court is asked to award, Article 5 of the Protocol lays down a procedure by experts and makes no provision for the jurisdiction of the Permanent Court. Since the contracting Powers have specifically referred to all Ottoman concessions previous to its coming into force, the Protocol undoubtedly has a retrospective effect. Moreover, as it constitutes an agreement between the litigant Parties, which has come into force during the course of the proceedings, with regard to the question in dispute, it suffices to terminate them.

Any one of these reasons would be enough to show that there was no jurisdiction, and taken together they have an irresistible effect. The present case relates neither to the interpretation nor the application of the Palestine Mandate. The facts leading up to the present suit took place long before the existence and entry into force of the Mandate, which has no retrospective effect. There is

no dispute between the Mandatory and a Member of the League of Nations which issued the Mandate, but rather between the Power in military occupation of Palestine and a third Party which is a private person who claims an indemnity. The whole question of the Ottoman concessions, and also therefore the Mavrommatis concessions, has been dealt with by the Parties in the Protocol, which is now in force and which does not give the Court jurisdiction over the matter. The Court therefore has no jurisdiction and cannot now entertain the proceedings on the merits of the dispute.

The Hague, August 30th, 1924.

(Signed) ANTONIO S. DE BUSTAMANTE.